

Mastering Momentum: Daily Contraction and Risk Management Framework

Module 02: Daily Contraction & Risk Management

Mastering Momentum Trading Setup & Capital Preservation Strategies

#TradingMentorship

PHASE 01: IDENTIFICATION

Daily Contraction

- **Insider Candle:** High/Low within previous day's range.
- **Trend Check:** Use 20 EMA on **Hourly** timeframe.
- **Logic:** Tug-of-war between buyers/sellers; wait for breakout.

PHASE 02: EXECUTION

Entry Strategy

- **Timeframe:** 3-min (before 11:30) / 5-min (after).
- **Trigger:** ORB (Opening Range) or Leg Strategy.
- **Confirmation:** Strong candle bounce from 10/20 EMA.

PHASE 03: MANAGEMENT

Risk Control

- **Position Sizing:** Risk Amount ÷ Stop Loss Points.
- **70/30 Rule:** Book 70% at 1:1, trail 30% to 1:2+.
- **Journaling:** Track ROC, Entry Time, and Remarks.

Critical Risk Parameters

3%
Max Daily Risk

1.5%
Risk Per Trade

70%+
Success Prob.

1:2
Target RR Ratio

Stock Analysis Log

Grasim	Success (1:3 RR)
DLF	Success (1:1 RR)
VEDL	Ignored (Sideways)
TechM	Success (1:4 RR)

#PriceAction #EMA20 #PositionSizing

Duration: 130 mins • Mentor: Prashant

This document summarizes the second module of the TCI mentorship program, focusing on the "Daily Contraction" momentum setup and professional risk management protocols. The session provides a technical roadmap for identifying high-probability trades using insider candles and managing capital through precise position sizing and trailing stop-loss techniques.

1. The Daily Contraction Setup: Logic and Identification

The core of the session revolves around the **Daily Contraction** setup, commonly referred to as momentum trading. This setup is triggered when a stock forms an "insider candle" on the daily timeframe, meaning the current day's high and low are entirely within the range of the previous day's candle. This formation indicates a temporary equilibrium where neither buyers nor sellers have gained control, leading to a "contraction" of price action. While general traders often play both sides of an insider candle, this strategy focuses on **Momentum Trading**, which dictates choosing a single direction based on the prior trend to increase success probability [07:5111:07-14:2015:30-17:55](#).

The Daily Contraction Logic



Key Rule: Trade only in the direction of the **Prior Trend**. If the trend is bullish, buy above Day 2 high. If bearish, sell below Day 2 low.

2. Technical Execution and Timeframe Analysis

Successful execution requires a multi-timeframe approach. The **Hourly Timeframe** is used to determine the prior trend via the 20-period Exponential Moving Average (EMA). A sloping 20 EMA indicates the trend direction; traders should only look for long opportunities if the price is above the 20 EMA and short opportunities if below. For actual entry, the **3-minute or 5-minute timeframes** are utilized. Entries are executed using either the Opening Range Breakout (ORB) or the "Leg Strategy" (retracement to the EMA). It is emphasized that "Intraday Boost" (IB) and "High Power" (HP) stocks are generally preferred over Daily Contraction stocks because they often exhibit stronger immediate volatility [18:55-22:1926:45-28:5901:04:01](#).

3. Professional Risk Management & Trailing Strategies

Risk management is described as the most critical component of a trader's journey. The session introduces two primary methods for trailing stop-losses to maximize profit:

- **Risk-Reward (R:R) Ratio Method:** A "70/30 rule" is suggested where 70% of the position is closed at a 1:1 or 1:2 ratio, while the remaining 30% is trailed to higher targets (1:3 or more) with the stop-loss moved to cost.
- **Trend Logic Method:** This involves moving the stop-loss behind the highs/lows of candles or outside of "price clusters" (consolidation zones). Traders are cautioned against trailing too tightly within a cluster to avoid being prematurely stopped out during minor retracements [01:23:56-01:30:5201:32:14-01:34:3701:39:12](#).

Position Sizing Formula

$$\text{Quantity} = (\text{Risk Amount}) / (\text{Stop Loss Points})$$

- **Max Daily Risk:** 3% of total capital.
- **Max Risk Per Trade:** 1% to 1.5% of capital.

- **Benefit:** Removes fear of loss and ensures emotional stability.

4. Operational Excellence: Journaling and ROC

The session concludes with the necessity of maintaining a **Trading Journal**. This is not merely for record-keeping but for analyzing "Return on Capital" (ROC) and identifying which strategies (ORB, Leg, or Contraction) yield the best results for an individual's psychology. A journal should track entry/exit times, the logic behind the trade, and remarks on emotional discipline. Analyzing these records at the end of the month allows a trader to refine their "comfort zone" and focus on the most profitable setups [01:53:10-02:01:26](#).

Key Data

- **Maximum Daily Risk:** Should not exceed 3% of total capital [01:42:46](#).
- **Risk per Trade:** Recommended at 1% to 1.5% if taking 2-3 trades per day [01:42:46-01:45:05](#).
- **Success Probability:** A well-followed setup yields approximately 70% to 80% success [02:12:49](#).
- **Timeframe Preference:** 3-minute charts are preferred until 11:30 AM/12:00 PM; 5-minute charts are used thereafter [24:2341:21](#).

To-Do / Next Steps

- Start practicing the Daily Contraction setup using only 10% of your total capital to build conviction. [02:07:38](#)
- Calculate the exact position size for every trade by dividing your pre-determined risk amount by the stop-loss points. [01:45:05](#)
- Maintain a detailed trading journal including the "Remark" column to track whether entries followed ORB or Leg strategies. [01:56:38-01:58:52](#)
- Move the stop-loss to "cost" once the first profit target (1:1) is reached for the remaining 30% of the position. [01:28:08](#)
- Attend the upcoming Tuesday session to learn about "Fake vs. Real Breakouts" and "Swing Trading" modules. [02:5402:11:24](#)

Conclusion

The Daily Contraction setup offers a structured way to capture momentum, but its success is entirely dependent on the trader's ability to filter stocks via hourly trend analysis and adhere to strict position sizing. By combining technical entry rules with the 70/30 trailing profit-taking strategy, traders can effectively manage risk while leaving room for high risk-reward outcomes. [01:04:0101:29:3101:51:05](#)